

5

Answers to Practice Problems

NDG Architects Ltd.

Email from nathanaelkang@ndg.co.uk

Date: 5th March 2014
To: James Noble
CC:
From: Nathanael Kang
Re: A bit of advice please

Dear James,

Thank you for your email. I hope you are feeling better and recovering well.

I am sorry to hear about your cousin's predicament. Please find below my answers to your questions:

1. What procedures should the neighbour and his architect have followed?
 - 1.1. Since the neighbour's extension is being built to attach to your cousin's extension, the extension works involves works to a party wall (the wall of your cousin's extension facing to the neighbours property). The works will also obviously involve excavation and construction adjacent to your cousin's extension. Both kinds of work are regulated by the Party Walls etc. Act 1996.
 - 1.2. The Act mainly relates to the obligations of the neighbour as the building owner; however, the architect, acting as the client's agent, could have implied duties in this Act as well.
 - 1.3. The Act provides certain procedures for the neighbour, as the building owner, and your cousin, as the adjoining owner, to follow with regards to works to an existing party wall.
 - 1.4. According to Section 3 of the Act, the neighbour must serve a 'party structure notice' (in writing) to your cousin 2 months before carrying out any works affecting the wall of your cousin's extension.
 - 1.5. The notice should include their intentions to carry out the works, the full particulars of the neighbour's name and address, details of the intended work, and date the work is proposed to begin.
 - 1.6. The details of the intended work would usually be in the form of plans, sections, elevations, details and specifications.
 - 1.7. On receipt of such a notice, your cousin would have had to either serve a counter notice or serve a written consent to the neighbour within 14 days, otherwise, a dispute would be deemed to have arisen between them.
 - 1.8. It is likely that the works may involve 'adjacent excavation and construction', as defined by Section 6 of the Act.
 - 1.9. If it does, the neighbour should have also served a notice to your cousin indicating his indication to carry out the works, and attach plans and sections showing the site and depth of the excavation he proposes to make and the location of the new extension.

2. Who should my cousin claim against?

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- 2.1. Claim against the neighbour
 - 2.1.1. For not properly following the procedures set out in the Party Walls etc. Act.
 - 2.1.2. Under the Party Walls etc. Act, your cousin is likely to be entitled to compensation from the neighbour (Section 7(2)).
- 2.2. Claim against the architect for breach of professional conduct and professional negligence
 - 2.2.1. The architect claimed that your cousin had given him approval to 'all the work taking place' when your cousin has in fact only stated that he had 'no objections in principle' to the plans of the proposed extension.
 - 2.2.2. It could be argued that the architect was acting dishonestly and thus be alleged to be in breach of Principle 1 of the RIBA Code of Professional Conduct and Standard 1 of the ARB code, both of which oblige the architect to act with honesty and integrity.
 - 2.2.3. The architect could also be accused of professional negligence for not exercising reasonable care and skill in the design of the works or in the inspection of the works, which has caused damage to your cousin's property.
- 2.3. Claim against the contractor carrying out the works
 - 2.3.1. If it can be shown that the damage was caused by the contractor not carrying out the works as he should have.
3. How would he complain about the architect and what might be the likely outcome?
 - 3.1. Your cousin can make a complaint to ARB and RIBA; both bodies will have procedures to deal with such complaints, which I summarize below:
 - 3.2. ARB
 - 3.2.1. The ARB will consider the complaint in detail through its Investigation Committee
 - 3.2.2. If the committee decides there is a case to answer, the complaint is referred to the Professional Conduct Committee (PCC) for a public hearing and decision.
 - 3.2.3. Following the hearing, the PCC can make a disciplinary order or find the architect not guilty of the charges;
 - 3.2.4. The disciplinary orders that the PCC is empowered to make are:
 - A reprimand
 - A penalty order (paying a specified sum based on the standard scale of fines for summary offences)
 - A suspension order (removal from the Register of architects for a period no longer than 2 years)
 - An erasure order (removal of the architect's name from the Register of architects indefinitely until directed by ARB to be re-entered).
 - 3.3. RIBA
 - 3.3.1. RIBA Byelaw 4 provides a set of disciplinary processes to deal with any complaints against a member for breach of the RIBA Code of Professional Conduct;
 - 3.3.2. The complaint will first be considered by a team of appraisers made up of both RIBA members and of other co-professionals;

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- 3.3.3. If the appraisal team considers it appropriate, the member may be called before a hearing panel, which will decide upon a sanction for the member;
- 3.3.4. The sanctions available are: private reprimand, public reprimand, suspension or expulsion.
- 3.4. With the amount of information that I have on the matter at the moment, it is difficult to say what the likely outcome would be for the architect.

Some other comments:

1. The Party Walls etc. Act, also provides for procedures for the resolution of disputes relating to party walls, through the appointment of a party wall surveyor ('agreed surveyor') or party wall surveyors ('the three surveyors').
2. The party wall surveyor(s) shall settle the dispute by an 'award', which may require the neighbour to make good your cousin's wall and timber floor.
3. The award is conclusive but within 14 days of its receipt, the parties have the right to appeal it to the county court.

I hope this email sufficiently answers your questions and concerns. Please let me know if you have any other questions.

Kind regards,

Nathanael Kang

Email from nathanaelkang@ndg.co.uk

Date: 5th March 2014
To: Belinda Carter
CC:
From: Nathanael Kang
Re: Journal Article

Dear Belinda,

Thank you for your memo. This article in a (presumably) economics journal is a great opportunity to make the practice known among a segment of society that we've perhaps not had much exposure before.

According to the information provided in your memo, I would like to propose the following structure and content for the journal article.

Heading 1: Adjustment in global economy and the impact on the nature and provision of Architecture in the UK

1. Decrease of local and regional work for UK architects in general.
2. Increase of international work for some UK architects:
 - 2.1. According to *The Future for Architects* by Building Futures, by 2020, emerging markets will have a larger share of global construction (55%) compared to developed markets (45%);
 - 2.2. The 2008 RIBA Large Practice Survey found that 20% of fee income for UK large practices was from overseas projects.
3. Consolidation of smaller firms into larger firms with international reach, e.g. Aedas.
4. Emergence of more global multi-disciplinary firms (probably incorporating existing UK architectural practices), e.g. AECOM:
 - 4.1. The Future for Architects report states that:

There was a suggestion that design was not at the forefront of the agenda in less mature markets and so this arena was best suited to the large multidisciplinary global consultancies whose one-stop-shop approach could provide an efficient, cost effective service.
5. Increasing pressure on medium-sized design led practices and smaller metropolitan boutique practices.
6. Emergence of out-sourcing of more routine elements of architectural service provisions to lower-cost economies, e.g. out-sourcing of architectural draughting to China or India.
7. Funders or other stakeholders of major capital projects in the UK may not be UK based and may be increasingly from emerging economies e.g. Battersea Power Station regeneration project currently being developed by a consortium from Malaysia.

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- 7.1. Architects in the UK will be increasingly exposed to requirements for more unfamiliar contractual arrangements and warranties as a result of the increasing involvement of foreign stakeholders in projects, especially major capital projects.

Heading 2: The view of society with regards to the nature of procurement and the impact on the nature and provision of Architecture in the UK

1. Change in the view of the society with regards to the nature of procurement of capital projects is due to an increasingly risk-averse attitude of clients, particularly in the public sector.
2. Changing the role of the architect:
 - 2.1. As procurement methods other than traditional procurement become more and more popular and in demand, the role of the architect shifts from being the leader of a project team to just being another service provider involved in just a section of the project;
 - 2.2. The role of leading a project team would also increasingly shift to engineers, contractors and project managers;
3. This will again lead to the strengthening of the position of large architectural or multi-disciplinary firm that have the financial and professional resources to take on increasing liability.

Further references:

Building Futures, *The Future for Architects*,

<[http://www.buildingfutures.org.uk/assets/downloads/The Future for Architects Full Report 2.pdf](http://www.buildingfutures.org.uk/assets/downloads/The_Future_for_Architects_Full_Report_2.pdf)>
[accessed 5th March 2014]

Kind regards,

Nathanael Kang

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5th March 2014

Mr V Chancellor
Richard III College
St Peters Way
Roachdale
OL3 2RT

Dear Mr V Chancellor,

Re: Richard III College

Thank you for your letter dated 4th March 2014 about the intention of Rural Heritage to list your library buildings and your concern on the effect of this matter towards the twelve month library refurbishment works due to start next week.

Subsequent to receiving your letter and the attached letter from Rural Heritage, we have spoken briefly to Rural Heritage to clarify our position. Their advice is that due to the fact that we are aware that the building is due to be listed, we should proceed with the work as if the building is listed, even though it is currently not listed.

The following is our advice and interpretation of what this means and does not mean:

1. The listing of a building does not prevent change to the building. Listed buildings can be altered, extended, and sometimes even demolished within government planning guidance.
2. The listing of a building simply means that listed building consent must be applied for with the local planning authority before carrying out any changes to the building that might affect its special interest.
3. This does not mean that we have to apply for listed building consent as the library building is not currently listed.
4. This does not mean we have to reapply for planning permission.
5. We think that the position of the works with regards to statutory matters is quite clear, i.e. that the works can proceed as planned and as given permission in the planning consent.
6. Due regard should be given to the protection of the existing fabric that is retained.

The following is our advice on the way forward with the project.

1. In light of the time and funding constraints on the project, our advice is that we carry on with the project as planned and not make any changes to the contract, contract documents, method statements and contractor chosen for the works, as these changes would likely delay the commencement of works and perhaps also increase the cost of the works.
2. The protection of the existing fabric that is retained should be provided for in the contract (with relevant insurance provisions).

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From my personal experience of working with historic and listed buildings, I would like to propose the following additional action points for your consideration. Please note that the items listed below are only my advice according to good practice and are given with the best interest of the college in mind. The college may choose to carry out any or none of the advice below:

1. Prior to commencement of site works (particularly any demolition works), commission a detailed photographic survey of the exterior and interior of the building. This, in addition to the survey drawings of the building as it is which we already have, will form a valuable historical record/snapshot of the building, which will only add to the rich history of the college.
2. Write a letter to Rural Heritage assuring them that the college is aware of the value of its historic buildings to the college, the local community and to the nation. The letter should also affirm the position of the college with regards to care and use of the historic buildings within the college (including the Library and Reading Rooms) for the enjoyment of future generations.
3. Since listed buildings are protected for the enjoyment of future generations, it can be argued that the public is also a stakeholder in any works relating to a listed building; accordingly, most listed building consent application procedures involve public consultation. While we have clarified that listed building consent is not necessary for this project, we think that it would be good for the college to inform the public about the proposed work through the college website or by posters near the library. This will also show Rural Heritage (and other interested bodies) that the college is transparent about the care and use of its historic buildings. We are happy for the college to use our renderings and drawings for this purpose with appropriate acknowledgements.

Our view is that the proposed refurbishment works would allow the historic library building to continue to be used and used in a way that would be more beneficial to the college community. As you may know very well from your own experience in the college, the continual (and respectful) use of a historic building is one of the best ways to preserve the building for the enjoyment of future generations. The sense of pride and belonging to a historic building generated from its continual usage is great impetus and motivation to maintain and look after a historic building in the best way possible.

We hope that this letter clears the air for you and your colleagues at the college. Please do not hesitate to get in touch if you would like to discuss or clarify any matters in this letter.

Yours sincerely,

Michael Hart

For and on behalf of NDG Architects Ltd.

Interoffice memo

Date: 5th March 2014
To: Michael Hart
CC:
From: Nathanael Kang
Re: Stable Block Refurbishment, Tally Ho Manor

Please find attached:

1. Hourly rate calculation;
2. Resource cost calculation;
3. Draft fee letter for your signature.

Assumptions:

1. The RIBA Plan of Work 2013 allows for planning application to be submitted using the output of Stage 2 (Concept Design, Stage 3 (Detailed Design) or Stage 4 (Technical Design); my assumption is that the planning application for this project was submitted at the end of Stage 3 (Detailed Design).
2. Our work would only be for Stage 4 (Technical Design), which covers preparation of documents for Building Regulations approval and production of construction drawings package, and perhaps giving intermittent advice to client on site queries.
3. Assume that preparation of Building Regulations approval drawings would take 6 weeks and that the production of construction drawings would take a further 6 weeks, i.e. total of 12 weeks or 3 months.
4. Assume earlier appointment contract for this project ended after obtaining planning permission and this fee proposal is for an entirely new appointment for the same project.

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Hourly Rate Calculation

Assumptions	
Hours per year	1700
Hours per day	7.5

Person	A		B		C	D=A+B+C	E	G	H=D/G	I	J=H+(H*I)
	Basic Salary	£	National Insurance		Overhead	Total cost p.a.	Fee earning %	Hours	Cost per fee earning hour	Profit margin	Charge-out rate
			£	13.8%							
James T. Noble	Director	52,000		6,114	52,000	110,114	60	1,020	108	20%	130
Belinda C. Carter	Director	52,000		6,114	52,000	110,114	65	1,105	100	20%	120
Michael Hart	Associate Director	38,000		4,182	38,000	80,182	70	1,190	67	20%	81
Sue Allen	Associate Director	38,000		4,182	38,000	80,182	70	1,190	67	20%	81
Dareem Patel	Architect	35,000		3,768	35,000	73,768	75	1,275	58	20%	69
Sven Berg	Architect	35,000		3,768	35,000	73,768	75	1,275	58	20%	69
Tomas Hjeltnes	Architect	31,000		3,216	31,000	65,216	80	1,360	48	20%	58
Renata Wang	Architect	31,000		3,216	31,000	65,216	80	1,360	48	20%	58
George Gee	Architectural technologist	27,000		2,664	27,000	56,664	90	1,530	37	20%	44
Nathanael Kang	Architectural Assistant	24,000		2,250	24,000	50,250	90	1,530	33	20%	39
Olga Pouliceck	Architectural Assistant	24,000		2,250	24,000	50,250	90	1,530	33	20%	39
Mark Jones	Architectural technician	21,000		1,836	21,000	43,836	95	1,615	27	20%	33
Liv Grosfjelt	Year out student	15,000		1,008	15,000	31,008	95	1,615	19	20%	23
Sara Smitt	Year out student	15,000		1,008	15,000	31,008	95	1,615	19	20%	23

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Resource Cost Calculation

	no of months		Director	Michael Hart Associate Director	Architect	Tomas Hjeltnes Architect	George Gee Architectural Technologist	Nathanael Kang Architectural Assistant	Year out student	
Work Stages		£/Hr	130	81	69	58	44	39	23	
0 Strategic Definition	0	Hrs/mth	0	0	0					
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
1 Preparation and Brief	0	Hrs/mth	0	0	0					
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
2 Concept Design	0	Hrs/mth	0	0	0					
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
3 Developed Design	0	Hrs/mth	0	0	0					
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
4 Technical Design	3	Hrs/mth	0	8	0	35	70	70	0	
		Hours	0	24	0	105	210	210	0	549
		Cost	0	1,941	0	6,042	9,333	8,276	0	25,592
5 Construction	0	Hrs/mth	0	0	0	0	0	0	0	
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
6 Handover and Close-out	0	Hrs/mth	0	0	0	0	0	0	0	
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
7 In Use		Hrs/mth								
		Hours	0	0	0	0	0	0	0	0
		Cost	0	0	0	0	0	0	0	0
Total staff costs										25,592

VAT 20% 5118.39
30,710

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5th March 2014

Lord Avafewbob
Tally Ho Manor

Dear Lord Avafewbob,

Re: Proposed refurbishment and conversion of existing stables into Farm Shop and Cafe, Tally Ho Manor

We are very happy to hear from you again and that you have managed to secure some funding for the Stable Block refurbishment.

We understand that the secured funding is insufficient and that you are looking to somehow reduce the cost of the project.

Accordingly, you have requested us to provide a fee quotation to obtain Building Regulations approval and produce construction drawings package only. Our fee for these services is £26,000 excluding VAT, approximately 4.3% of your budget of £600,000.

You also explained that you would like to project manage the contract yourself and do not require our services for the construction stage. However, we are happy to provide any assistance or advice as and when you require during this stage, which will be chargeable on a time basis at the following rates (excluding VAT):

Director	£120 per hour
Associate Director	£85 per hour
Architect	£70 per hour
Architectural Technologist	£45 per hour
Architectural Assistant	£40 per hour

In addition, we shall invoice you for our expenses, including printing, reproduction and purchase of any drawings, documents or maps as necessary, travelling costs and any disbursements made on your behalf. These expenses will be charged at cost plus an administrative fee of 5% of the cost.

Accounts for instalments of fees shall be issued monthly with a payment period of 14 calendar days. Value Added Tax is chargeable on the net value of our fees and expenses.

Our fees do not include the appointment of other consultants or specialists whose services may be necessary for this project. We expect that this project will require the services of a structural engineer, a building services engineer, a quantity surveyor and a kitchen specialist for the kitchen equipment required for the café. We can advise you further on the selection and appointment of these consultants.

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We are also obliged to inform you of your duties as clients under Construction (Design and Management) Regulations 2007, which are:

1. To check competence and resources of all appointees;
2. To ensure there are suitable management arrangements for the project welfare facilities;
3. To allow sufficient time and resources for all stages of the project;
4. To provide pre-construction information to designers and contractors.

You are also advised that this project is notifiable to the Health and Safety Executive, which places some additional duties on you as a client:

1. To appoint CDM co-ordinator;
2. To appoint principal contractor;
3. To make sure that the construction phase does not start unless there are suitable welfare facilities and a construction phase plan is in place;
4. To provide information relating to the health and safety file to the CDM co-ordinator;
5. To retain and provide access to the health and safety file.

Please be advised that the works for which the planning permission has been granted will have to begin within 3 years of the granting of planning permission. Otherwise, a new planning application may have to be submitted or an application to extend the current permission will have to be submitted.

If appointed, we will take out and maintain professional indemnity policy for this project with RIBA Insurance Agency.

Please do not hesitate to get in touch with us to discuss or clarify any matters in this letter or regarding the project. More information on our practice can be found on our website www.ndgarchitects.com.

We look forward to hearing from you.

Yours sincerely,

Michael Hart

For and on behalf of NDG Architects Ltd.

Interoffice memo

Date: 5th March 2014
To: Belinda Carter
CC:
From: Nathanael Kang
Re: Factory Unit

Thank you for your memo. Please find below my thoughts and advice on the situation.

The clause in JCT Standard Building Contract with Quantities 2011 (SBC 2011) that applies to this situation is clause 4.17 which provides that the value of any 'Listed Item' can be included in an Interim Certificate prior to delivery on site subject to fulfilling a number of conditions:

1. the listed items are in accordance with the contract (cl 4.17.1);
2. the contractor has provided reasonable proof that the property is vested in it (cl 4.17.2.1);
3. the contractor provides proof that the items are insured against specified perils until delivery on site (cl 4.17.2.2);
4. the listed items are 'set apart' or clearly marked and identified (cl 4.17.3);
5. if the item is 'uniquely identified', a bond has been provided if required in the contract particulars (cl 4.17.4 and Schedule 6);
6. if the item is 'not uniquely identified', a bond has been provided (cl 4.17.5 and Schedule 6).

Listed Items are defined in clause 1.1 as 'materials, goods and/or items prefabricated for inclusion in the Works which are listed as such items by the Employer in a list supplied to the Contractor and annexed to the Contract Bills'.

Noting the importance of this material in our design, I assume that the translucent panels were included in a list attached to the bills of quantities to which the contractor has tendered and therefore qualify as 'Listed Items'.

With the information available to me at the moment, I am unsure whether the translucent panels are 'uniquely identified' listed items or 'not uniquely identified'. I will have to have a look at the Contract Bills. However, again, noting their importance to the design, I would assume that they are 'uniquely identified' listed items. If so, I would have to check whether the contract particulars state that a bond from the contractor in favour of the client has been provided and whether we have any record of this.

Subject to fulfilling all the conditions as mentioned above, we should be able to include the amount the contractor pays to the supplier when the order is placed (50% of the costs) in the next interim certificate.

With regards to retention, it looks as if the value of the translucent panels in the Interim Certificate will be subject to retention (cl. 4.16.3).

Please find attached a draft reply letter to the contractor for your review and signature.

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5th March 2014

Mr. Dave Jones
Seedons
Seedon House
Bridge Road
Madchester
M4 5FP

Dear Mr. Jones,

Re: Factory Unit

Thank you for your letter dated 4th March 2014.

We are sorry to hear about the potential problem with 'Trans Lu Cent', in particular about the change in their terms and conditions with regards to orders and payment.

We note your intention to include the value of your initial payment to Trans Lu Cent for the translucent panels specified (50% of the costs) in your next Interim Application.

We understand that the translucent panels are considered as 'Listed Items' and that we are allowed under the contract to include the amount of the initial payment in the next Interim Certificate subject to fulfilling a number of conditions:

1. That you provide reasonable proof that you own the translucent panels (cl 4.17.2.1) e.g. receipt of your initial payment of the translucent panels;
2. That you provide reasonable proof that the items are insured against Specified Perils until delivery on site (cl 4.17.2.2), e.g. copy of the insurance policy and receipt of your payment of the insurance policy premium;
3. The listed items are 'set apart' or clearly marked and identified (cl 4.17.3).

We regret to inform you that the value of the translucent panels included in the Interim Certificate will be subject to retention in accordance to clause 4.16.3.

We hope that this letter sufficiently addresses your concerns and that this matter would not cause any delay or additional costs.

Yours sincerely,

Belinda Carter

For and on behalf of NDG Architects Ltd.

Interoffice memo

Date: 6th March 2014
To: Belinda Carter
CC:
From: Nathanael Kang
Re: RIBA Education Review

1. In my opinion, the knowledge required for practice as an architect is so vast and multi-faceted that it would be difficult to cover this knowledge in a four or five-year architectural course in university. I think that the knowledge required could be best taught in an integrated course consisting of an equal amount of academic classes and structured practical experience (perhaps 3 + 3 years).
2. I doubt that a purely academic course would give me the necessary knowledge and skills to meet the professional standards of competence set out in the RIBA Code of Conduct and the ARB Code and Standards. From my own experience, I find that this competence is best gained over time through personal experience, learning from colleagues who are more experienced and learning from mistakes. The only place of gaining competence through these means is in practice, not in an academic course. I would redesign an architecture course to include more time in architectural practice, e.g. spending half the year in university and the other half in practice throughout the four or five-year course. In order for this training to be even more effective, I would suggest that the student remain in the same practice (or that the practice retains the student) throughout the course.
3. I think that practices have a lot to offer to universities and the training of future architects in terms of professional practice, knowledge and standards. It is a shame that architectural academia and practice can seem so separated that students, having completed a 5 year university degree often feel that they are starting all over again when entering practice. Strategic partnerships and arrangements can be put in place between practices and universities that would benefit both parties. For example, practices could agree to allow some of their architects to teach in the architectural course in a university in exchange for preferential rights to interview and select graduates for employment.
4. Professional training and support in practice could be improved by being more structured. Practices employing students should take a more responsible attitude towards their training in terms of providing relevant work experience and designating mentors for students. The obligation to provide necessary training should be included in the employment contract of students.
5. I would consult the clients, e.g. developers, contractors, as they would have the most to gain from an improvement in the way architects are educated and trained. Clients would presumably want architects to be trained to be able to better understand a building project from their viewpoint, e.g. understanding commercial and financial concepts. I would also consult other consultants in the industry, e.g. engineers and quantity surveyors as they are the fellow team members of architects in

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any building project. They would most likely have some opinion on the knowledge and skills needed in architects in order to work together more efficiently and effectively. I would also consult the public as the works of architects inevitably affect the lives of the public for better or for worse. We have an obligation to the public to get their views on this matter.

NDG Architects Ltd.

Interoffice memo

Date: 6th March 2014
To: Sue Allen
CC:
From: Nathanael Kang
Re: Madchester Academy – role of client

Please find attached a draft of a checklist/document that can be used by the Premises Manager for this Science Block project or for future projects.

References:

Construction Industry Board, Briefing the Team

CABE, Creating buildings, <

<http://webarchive.nationalarchives.gov.uk/20110118095356/http://www.cabe.org.uk/buildings/tasks>>

[accessed 6th March 2014]

Checklist for managing and procuring major new-build project

Project name: Science Block, Madchester Academy

Project team:

Architect	NDG Architects Ltd.
Structural Engineer	
Building Services Engineer	
Quantity Surveyor	
CDM Coordinator	
Planning Consultant	
Other consultants	

Briefing

1. Prepare 'Statement of need', which should:
 - 1.1. State clearly the client's missions and objectives;
 - 1.2. Set out the client's needs;
 - 1.3. Indicate the impact of not meeting the need;
 - 1.4. Identify the triggers for change;
 - 1.5. Place client's need in a historic context;
 - 1.6. State what is expected in response to this statement;
 - 1.7. State the sort of decisions need and from whom;
 - 1.8. Establish authority for making payments to consultants and contractors.
2. Prepare a 'Strategic Brief', which should include:
 - 2.1. Overall scope and purpose of the project;
 - 2.2. Programme of the project (pre-construction and construction), including any phasing if necessary;
 - 2.3. Budget and any funding restrictions;
 - 2.4. Statements on size and capacity requirements and functions to be accommodated;
 - 2.5. Internal and external environmental requirements;
 - 2.6. Technology to be incorporated or accommodated, including equipment, IT, building services;
 - 2.7. Quality requirements for design, materials, construction, and long-term maintenance;
 - 2.8. Access requirements;
 - 2.9. Security requirements;
 - 2.10. Any planning and building constraints;

- 2.11. Any other information on the site (e.g. existing underground services, survey drawings, etc.);
- 2.12. Provide information relating to the health and safety file to the CDM co-ordinator.
3. Consider and decide on the consultants and specialist services necessary for the project; clearly define roles of each consultant and specialist.
4. Check competence and resources of all consultants and specialist before appointing.
5. Ensure that all appointment of consultants and specialist are in writing and have been executed properly.

Design

6. Establish time frames and deadlines for major presentations to the Board of Governors for decision making.
7. Ensure that decision maker(s) sign off design documents at relevant stages (e.g. at the end of Stage 2 – Concept Design, Stage 3 – Detailed Design, and Stage 4 – Technical Design).
8. Establish a regular project coordination meeting with the consultants.
9. Prepare any necessary documents (e.g. ownership certificates) and payment for planning permission application.
10. Ensure that cost estimation is made at the end of every stage by the Quantity Surveyor.
11. Check that the design output meets the requirements in the Strategic Brief.
12. Ensure that the Strategic Brief is developed into a detailed Project Brief throughout the design stage. Ensure that the decision maker(s) sign off the Project Brief.

Procurement

13. Consider the most appropriate procurement method.
14. Ensure sufficient time is allowed for preparation of tender documents by consultants.
15. Ensure sufficient time is allowed for tenderers to prepare and return tenders.
16. Ensure sufficient time is allowed for consideration of the tenders.
17. Select and appoint main contractor.
18. Indicate any preferred/nominated sub-contractor and/or suppliers.
19. Ensure that all necessary contract documents are executed before commencement of works.
20. Ensure that the contract documents are securely kept and are available for inspection at all reasonable times.

Construction

21. Ensure that the site is prepared for handover to the contractor and give possession of the site to the contractor on the date of commencement stated in the contract.
22. Ensure that there are no interferences that would prevent the contractor from carrying out the works on the site in whatever way or sequence it chooses.
23. Ensure that the CDM co-ordinator and contractor comply with CDM Regulations.
24. Make sure that the construction phase does not start unless there are suitable welfare facilities and a construction phase plan is in place.
25. Ensure there are suitable management arrangements for the project welfare facilities.

26. Allow sufficient time and resources for all stages.
27. Organize and attend regular site meetings (perhaps fortnightly).
28. Ensure that the payments for interim certificates are made before the due date.
29. Issue notice to contractor to deduct liquidated damages if the works are not completed by completion date.

Practical Completion and Use

30. Ensure that half of the retention monies are released to the contractor after issuance of the certificate of practice completion.
31. Regain possession of the site and ensure that the contractor removes all site plant and waste.
32. Monitor and record problems and defects found on site.
33. Arrange for the contractor to give a full briefing on the building systems.
34. Ensure that the 'as-built' plans, specifications, supplier lists and equipment instructions have been submitted by relevant contractors, sub-contractors and consultants.
35. Ensure that the health and safety file is updated. Retain and provide access to the health and safety file.
36. Obtain user feedback of the new building.
37. Conduct appraisal of building using tools such as the Construction Industry Council's Design Quality Indicator of RIBA Value Toolkit. This appraisal can be used to inform future projects.
38. Conduct review of the performance of consultants. Again, this review can inform the selection and appointment of consultants for future projects.

Note:

All references to stages refer to the RIBA Plan of Work 2013.

Interoffice memo

Date: 6th March 2014
To: Belinda Carter
CC:
From: Nathanael Kang
Re: Designer's Health and Safety Risks and Responsibilities

Please find below a report of my findings on your questions:

How do we protect the practice and our staff from the consequence of litigation?

There can be several consequences of litigation for the practice and our staff:

1. Financial: i.e. claim for damages, claim for recovery of legal fees;
2. Professional: the litigation could also lead to the practice being struck off the RIBA directory of UK Chartered Practices, the directors (or other architects) of the practice being suspended or erased from the ARB Register of Architects, or face suspension or expulsion from RIBA.

We can protect the practice and our staff from the *financial* consequence of litigation by having adequate and appropriate insurance cover in place. This is a requirement of the Architects (registration) Act and the ARB Code – Standard 8, which states:

You are expected to have adequate and appropriate insurance cover for you, your practice and your employees. You should ensure that your insurance is adequate to meet a claim, whenever it is made. You are expected to maintain a minimum level of cover, including run-off cover, in accordance with the Board's guidance.

Likewise, The RIBA Code of Professional Conduct Guidance Note 5, which deals with insurance, states:

Members practising architecture are exposed to the risk of being sued for negligence or breaches of contract. Some form of insurance should therefore be held which will generally cover liabilities arising from such claims.

Members should therefore ensure that their professional work is protected by an appropriate insurance policy at a level of cover commensurate with the type of projects they undertake.

Insurance cover for the practice usually includes:

1. Professional indemnity insurance
 - 1.1. A policy to cover claims for breach of professional duty and/or being negligent in carrying out professional duties
 - 1.2. Common causes for claims against architect/designers are: negligent design, specification errors and late information.

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- 1.3. ARB recommends that the minimum limit of indemnity provided by PII should be £250,000 for each and every claim. It is important to note that architects should maintain sufficient cover to enable them to meet claims arising from professional practice and bear in mind that claims may arise from personal injury as well as loss, damage, delay and additional costs.
- 1.4. ARB also recommends that architects ensure that they acquire a minimum of six years' worth of run-off cover, and continue to monitor any risk they have of a claim being made against them after this time.
2. Employer's liability insurance
 - 2.1. This is a legal requirement (to a minimum cover of £5,000,000) to protect the practice against any claim brought by its employee due to the employer's breach of its duty to protect them against death, injury, diseases, etc. arising out of their employment.
3. Public liability insurance

It is harder to protect the practice and staff from the *professional* consequences of litigation other than to prevent the happening of the litigation in the first place by carrying out our duties with reasonable care and skill.

Under the Construction (Design and Management) Regulations 2007, we have the following duties as designers:

- Eliminate hazards and reduce risks during design; and
- Provide information about remaining risks.

And if the project is notifiable:

- Check client is aware of duties and CDM co-ordinator has been appointed;
- Provide any information needed for the health and safety file.

It is important to remember that our duties as designers are not just for the builders but also extend to users of the buildings, e.g. people:

- carrying out or affected by the construction work;
- cleaning windows;
- maintaining the structure; and
- using a structure designed as a workplace.

Another point to remember to avoid or prevent litigation is to consider all our contractual arrangements carefully, i.e. appointment contract with the client and any collateral warranties for purchasers, tenants or funders. We should, if possible, always use the latest RIBA Standard Form of Appointment as we are familiar with the terms. This would also ensure that we would not enter into a contract with provisions not covered by our professional indemnity insurance. We should also be careful to advise the client to use forms of contract that we are familiar with or obtain legal advice if asked to administer a form of contract that is new to us. If unsure, we should always contact our professional indemnity insurers for advice.

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We can prevent problems from escalating to litigation against us by having a practice policy detailing procedures of dealing with and handling complaints in accordance to RIBA Principle 3

3.5 Members are expected to have in place (or have access to) effective procedures for dealing promptly and appropriately with disputes or complaints;

and ARB Code Standard 10 – Deal with disputes or complaints appropriately:

You are expected to have a written procedure for prompt and courteous handling of complaints which will be in accordance with the Code and provide this to clients. This should include the name of the architect who will respond to complaints.

When can we as designers be pursued through the criminal and civil courts? What are the respective circumstances?

1. Professional negligence resulting in breach of statutory duties, including:
 - 1.1. Construction (Design and Management) Regulations 2007 (CDM 2007), e.g.:
 - By not considering, identifying, eliminating, and minimizing risks and hazards in our design and not reporting residual risks and hazards to the rest of the project team (i.e. other designers, client, CDM Coordinator, contractors);
 - By not checking that the client is aware of their duties under CDM 2007.
 - 1.2. Defective Premises Act 1972
 - This act places a statutory duty on 'a person taking on work for the provision of a dwelling', i.e. includes a designer or architect taking on work to design a building to be used as a home. Designers or architects are obliged to do their work in a 'professional manner (i.e. with reasonable care and skill). We can be pursued through the courts if it can be shown that we did not carry out our work as designers in a professional manner, which resulted in the dwelling being unfit for habitation when completed.
2. Professional negligence resulting in breach of contractual obligations:
 - 2.1. For not exercising reasonable care and skill in carrying out design work.

Who pays for court/lawyer costs? If action results in a fine, who pays? Is the action against the individual or the practice?

Each party (claimant and defendant) would normally pay for their own lawyer's costs. Each party can decide to claim the lawyer's costs from the other party if the decision of the court is in their favour.

The court can decide which party pays for the court costs or how the cost is split between the parties.

If the action results in a fine, the 'person' to whom the fine was issued would be responsible for the payment of the fine. The 'person' could be an individual in the practice or the practice itself. The action can be brought against an individual or the practice.

References:

Architect's Legal Handbook, 9th edition

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Architect's Handbook of Practice Management, 8th edition
Good Practice Guide - Keeping out of trouble

Interoffice memo

Date: 6th March 2014
To: Sue Allen
CC:
From: Nathanael Kang
Re: Good Times ahead – Maybe!!!

This is good news indeed. Very happy for your friend and as you said, I do hope it is an indication of the start of the end of the recession and better times for us all.

Managing Growth

Growth of a practice can be managed by careful consideration of the financial and human resources of the practice. Your friend could start by considering the following questions in detail:

1. Where is the practice now?
 - 1.1. It is important for your friend to take stock of the current situation of his practice to be able to assess opportunities and need for growth;
 - 1.2. This could be in terms of revenue, profitability, amount of projects, types of projects, types of clients, awards won, publications, etc.
 - 1.3. Skills – what sort of skills are necessary to deal with the current workload?
 - 1.4. Can the practice afford to take on additional staff? If so, how many additional staff?
 - 1.5. What are the current expenditures and overheads of the practice? Can any of these items be reduced or eliminated altogether in order to afford hiring additional staff?
 - 1.6. Are there any work that I can out-source (e.g. draughting, visualization, model making, etc.) in order to have more time to do the things that will earn more money? – Outsourcing can be a good way of dealing with fluctuating workload as it does not require the long term commitment required of employing new staff.
2. Where do I want the practice to be in five or ten years' time?
 - 2.1. It is imperative that your friend has in mind the position he wants himself and his practice to be in the future. This can be in terms of types of work, clients, recognition, and skills available within the practice.
 - 2.2. These long term targets should be set out in tangible and measurable terms: e.g. doubling size of practice in 5 years, having at least 30% of work as public sector work, etc.
 - 2.3. Having set long term targets in place, your friend can then set out a systematic plan to reach the targets. This is best done by setting short-term (annual) targets that will eventually build up to achieving the long-term target.
 - 2.4. Skills – what sort of skills will I need to attract the type of work that I need to achieve the long term targets?

With a clear idea of the current position and a future destination, your friend would be able to more intelligently and carefully manage the growth of his practice.

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Zero hours contracts

A zero hours contract is an employment contract in which the employer does not guarantee the individual any work, and the individual is not obliged to accept any work offered. In such contracts, the employee agrees to be available for work as and when required. The employee receives compensation only for hours worked.

Such contracts are legal under domestic law and meet the terms of the Employment Rights Act 1996. If they are freely entered into, a zero hours contract is a legitimate form of contract between individual and employer. This is normally used in the retail sector to deal with 'out-of hours' demands of consumers, e.g. Sports Direct.

Advantages

1. Allows the practice to deal with fluctuating workload;
2. Allows the practice to retain the skills of employees wanting to have more flexibility in their work time or employees who want to 'partially' retire.
3. Bodies representing employers claim that zero hour contract reduces the unemployment rate and reduces the burden of the unemployed on the welfare system.
4. Good for employees who want occasional earnings and flexibility with when they work.

Disadvantages

1. Zero hour contract employees only have to be paid the national minimum wages (a plus for employers but definitely a disadvantage for employees!);
2. Does not engender trust, loyalty and motivation which comes from higher wages and job security;
3. Potential difficulty in obtaining appropriate experience and skills for professional development. An architectural staff who only dips in and out of a project or projects is unlikely to be able to gain significant experience and skills to progress and improve.

Conclusion

Personally, the advantages of zero hours contract apply more to the retail sector. This employment arrangement does not seem to fit well for architectural practices due to the disadvantages listed. The main advantage of flexibility in dealing with fluctuating workload can be gained through other means, e.g. outsourcing.

Unpaid internships

Unpaid internships usually apply to Part 1 students and Part 2 architectural assistants. It is a wide spread practice not only in the UK but also in European countries and further abroad as some practices think that they are already doing the students a favour by giving them training on the job and a famous name to put in their CV. It is an easy way out for companies wishing to take on more work with minimal extra expenditure.

However, unpaid internships are:

1. A breach of RIBA Code of Conduct and RIBA Employment Policy
2. A breach of ARB Code

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Standard 12 - Respect for others

You should treat everyone fairly and in line with the law. You should not discriminate because of disability, age, gender, sexual orientation, ethnicity, or any other inappropriate consideration.

3. Unfair on interns
4. Bad for the practice
 - Practices offering unpaid internship are only recruiting from a narrow and less diverse pool as not many graduates can afford to work for no pay.
5. Bad for the profession as a whole
 - The previous RIBA President, Angela Brady, wrote in an article in RIBA Journal: 'Use of unpaid internships reflects badly on the profession and exploits the future talent we should instead be nurturing.'
 - It reflects badly on the profession as it shows that the profession does not value the work of its own people and thus undermines the argument for clients to recognise the value of architects and good architectural design.

In conclusion, I am of the opinion that the practice of unpaid internships should be stopped once and for all.

Further information and references:

I found the following RIBA Publishing books useful while preparing the memo; perhaps you could also draw your friend's attention to these books for further guidance and ideas:

- Good Practice Guide – Painless Financial Management by Brian Pinder-Ayres
- Good Practice Guide – Starting a Practice by Simon Foxell

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Interoffice memo

Date: 6th March 2014
To: Michael Hart
CC:
From: Nathanael Kang
Re: Giral Church

Please find attached three draft letters for your review and signature:

1. A reply letter to Pastor Jones addressing each item of concern in his letter
2. A letter to the contractors informing them of the defects and outstanding item;
3. A letter to our Professional Indemnity Insurers to notify them of this circumstance that could lead to a claim against us.

I have also prepared a file note setting out the rationale for my actions.

NDG Architects Ltd.

Wharf Mill, Paccadilly, Madchester, MAD PPA
t: 01606 782 53 | f: 01606 782 510 | w: www.ndg.co.uk | e: info@ndg.co.uk

6 March 2014

Pastor Jones
Giral Church
Giral Lane
Madchester M16 6JP

Dear Pastor Jones,

Re: Giral Church

Thank you for your letter dated 4th March 2014.

I am sorry to hear about the problems you are facing in the new building. Please find below our response to the individual matters which you have outlined.

About the Health and Safety file, the CDM Coordinator is responsible for the preparation and update of health and safety file. However, the client, designer, contractor and sub-contractors are responsible to provide relevant information to the file. You will remember that the purpose of the health and safety file is to alert future users and those carrying out work on the structure to the health and safety risks present. The maintenance of the timber floor was and is not deemed to be related to health and safety and thus was not included in the file. However, if you like, we can get in touch with the supplier of the timber floor on your behalf to enquire about the best way to remove the stain and we will get back to you on this matter shortly.

With regards to the plaster cracks at the junction of wall and ceiling and the light switch in the meeting room, we will inform the contractor of these defects and arrange to come have a look with the contractor as soon as possible. According to the contract (clause 2.30) the contractor is required to make good any 'defects, shrinkages or other faults which appear...and are notified by the Architect/Contract Administrator to the Contractor' at no cost to the client. We would like to point out that the defects referred to in this clause are limited to those that result from the Works not having been carried out in accordance with the contract. These defects do not include defects which would be expected even if the Works had been carried out as specified. However, we cannot be sure at the moment without having a look at the defects on site.

We recall that the electric hand drier was listed as 'outstanding items' which you have agreed could be provided after issuance of the practice completion certificate in order not to delay handover. As a matter of good practice, I am quite sure that we have this recorded in a written agreement between yourself and the contractor and that the agreement would include a deadline by which the contractor should have installed the hand drier. We will look through our files for this agreement and follow up with the contractor; we will get back to you on this as soon as possible.

NDG Architects Ltd.

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I am afraid we are unable to bring forward the defects liability period, which was agreed at the outset. However, we are able issue instructions to the contractor to make good any defects before the end of this 12-month period.

We hope our reply sufficiently addresses your concerns on the matters above. As mentioned, let us know when is a good time to drop in to have a look at the defects in the meeting room; we will have a look at the stained timber floor as well while we are there just to make sure it is not anything serious.

Please feel free to give us a call or drop us an email if you would like more clarification on any matters in this letter.

Yours sincerely,

Michael Hart

For and on behalf of NDG Architects Ltd.

NDG Architects Ltd.

Wharf Mill, Paccadilly, Madchester, MAD PPA
t: 01606 782 53 | f: 01606 782 510 | w: www.ndg.co.uk | e: info@ndg.co.uk

6 March 2014

Browns Contractor Ltd
Madchester

Dear sirs,

Re: Giral Church – Defects

We have just received a letter from Pastor Jones from Giral Church about some defects that have appeared subsequent to the issuance of the practical completion certificate in September 2013.

The letter mentioned two defects:

1. Plaster cracks at the junction of the wall and ceiling in the meeting room; and
2. Faulty installation of the light switch in the meeting room.

We proposed to the pastor that we should have a look at the defects on site as soon as possible. You will remember that if the defects can be shown to be due to the Works not being carried out according to the contract, you are responsible to make good the defects at your own cost (clause 2.30). We will follow up this letter with a telephone call to arrange the time to visit the church.

The letter also mentioned that the electric hand drier has not been installed in the toilet. You will remember that the client agreed for the hand drier to be listed as an 'outstanding item', which was to be installed subsequent to the issuance of the practical completion certificate. Please could you see to it that it is installed without further delay?

Please find attached a copy of the letter from Pastor Jones for your reference.

Please do not hesitate to get in touch for any clarification or queries. Your cooperation in these matters will be much appreciated.

Yours faithfully,

Michael Hart

For and on behalf of NDG Architects Ltd.

NDG Architects Ltd.

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6 March 2014

Professional Indemnity Insurers
Madchester

Dear sirs,

Re: Notification of circumstances that may lead to claim

We have just received a letter from our client at Giral Church about some defects that have appeared subsequent to the issuance of the practical completion certificate in September 2013. Although we are optimistic about our position in this matter, we are writing to notify you that this matter may lead to a claim from the client.

Please find below some information on the project

Project: Giral Church – new-build church building
Form of contract: JCT Intermediate Building Contract with Contractor's Design 2005
Contract sum: £315,000 including variations
Contractor: Browns Contractor Ltd
CDM Coordinator: Small & Fall
Quantity Surveyor: NDG Architects Ltd.
Electrical works, plumbing/heating engineering: Domestic sub-contractor
Issuance of practical completion certificate: 15 September 2013
Rectification period: 12 months

Please find attached the letter from the client for your reference.

We have proposed to the client that the contractor and we visit the site to appraise the defects at the earliest opportunity. The practical completion certificate was issued even with the electrical hand drier for the toilet not installed (this item was in the contract documents) as the client did not want to delay handover of site and an agreement was reached with the contractor to install this item after practical completion.

We would appreciate your professional advice on this matter.

Yours faithfully,

Michael Hart

For and on behalf of NDG Architects Ltd.

File note

Date: 6th March 2014
From: Nathanael Kang
Re: Giral Church - Defects

On receipt of the letter from Pastor Jones at Giral Church dated 4th March 2014, I drafted:

1. A reply letter to Pastor Jones addressing each item of concern in his letter;
 - 1.1. In this letter, I addressed all the issues raised by the client;
 - 1.2. Information on maintenance and cleaning of timber floor not in H&S file:
 - 1.2.1. I explained that this information does not relate to health and safety and thus was not included in the file.
 - 1.2.2. I offered to get in touch with the timber suppliers (perhaps through the contractors) to obtain this information
 - 1.3. Plaster cracks at the junction of the wall and ceiling in the meeting room and the faulty light switch in the meeting room
 - 1.3.1. I proposed that the contractors and ourselves visit the church to appraise these defects;
 - 1.3.2. I pointed out that the contract has provisions for the contractor to make good these defects at his own cost if it can be shown that the defects were due to the contractor not carrying out the works in accordance with the contract.
 - 1.3.3. These two defects were most likely latent defects (i.e. not obvious) at the time of our inspection before issuing the practical completion certificate; therefore, I am quite optimistic that we are not to be blamed for not noticing these defects earlier.
 - 1.4. Outstanding electrical hand drier
 - 1.4.1. Pastor Jones's letter implied that the church agreed that the hand drier can be fitted later (and that they will cope with the lack of hand drier with hand towels in the meantime) so as not to delay handover;
 - 1.4.2. I assume that the hand drier was listed as an outstanding item at the issuance of practical completion certificate and that the contractor and the church had agreed that the item would be installed after practical completion.
 - 1.5. I explained to the pastor that the defects liability period cannot be brought forward but we could issue instructions to the contractor to make good defects before the expiry of that period if necessary.
2. A letter to the contractors informing them of the defects and outstanding item;
3. A letter to our Professional Indemnity Insurers to notify them of this circumstance that could lead to a claim against us;
 - 3.1. Although as mentioned, I am quite optimistic that the matters referred to in Pastor Jones's letter is not due to our professional negligence (either in inspection or in issuing the practical completion certificate with the work outstanding), I thought we should inform our professional indemnity insurers just in case this matter becomes more severe and leads to a claim against us.